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GEA delivers profitable growth in 2021 and proposes higher dividend

- Order intake increased significantly by 11% (organic: 14%) to EUR 5.2 billion (2020: EUR 4.7 billion)
- Revenue up 1.5% (organic: 4.3%) to EUR 4.7 billion (2020: EUR 4.6 billion)
- EBITDA before restructuring expenses rose 17.3% to EUR 624.8 million (2020: EUR 532.5 million); margin up 1.8 percentage points to 13.3 percent – the highest level since 2016 (2020: 11.5 percent)
- ROCE significantly increased to 27.8 percent (2020: 17.1 percent)
- Strong improvement in net working capital as percentage of revenue to 5.1 percent (2020: 7.9 percent); net liquidity more than doubled from EUR 245 million to EUR 500 million
- Dividend increase to EUR 0.90 per share proposed (2020: EUR 0.85)
- 2022 guidance: over 5 percent organic sales growth, EBITDA before restructuring expenses between EUR 630 million and EUR 690 million, ROCE between 24 percent and 30 percent

Despite a challenging environment, GEA succeeded in improving all financial key performance indicators in fiscal year 2021. An 11 percent rise in order intake increased the backlog to a record high of around EUR 2.8 billion. EBITDA before restructuring expenses improved by a substantial 17.3 percent to EUR 624.8 million, with the corresponding margin gaining 1.8 percentage points to 13.3 percent – the highest figure since 2016. Return on capital employed (ROCE) stood at 27.8 percent, net working capital as a percentage of revenue at 5.1 percent and net liquidity at EUR 499.8 million.

“GEA can look back on a highly successful year in 2021, in which GEA shares significantly outperformed the market,” said CEO Stefan Klebert. “Our goal is to ensure long-term value enhancement for our stakeholders. We achieve that goal through the strong operating performance of our divisions, which focus on sustainability alongside innovation & digitalization. Accordingly, these are two key factors in our Mission 26 strategic plan to continue our profitable growth trend.”

All divisions contribute to substantial growth in order intake

Order intake increased by a significant 11 percent in 2021 to EUR 5,222.5 million (2020: EUR 4,703.0 million). Organic growth stood at 14 percent. All divisions contributed to this with double-digit growth rates, with the exception of Heating & Refrigeration Technologies, which achieved high single-digit growth. Among customer industries, food, pharma and chemicals showed substantial double-digit growth rates.

The very strong order intake was also partly due to nine large orders (volumes exceeding EUR 15 million) for a total of EUR 293 million in the beverage, pharma and food industries, including one in the growth market of New Food with an order value well into the high double-digit million euro range. At EUR 2,785.4 million, the order backlog reached a new record high (2020: EUR 2,298.5 million).

Revenue increased up by 1.5 percent in 2021 to EUR 4,702.9 million (2020: EUR 4,635.1 million), and by 4.3 percent on an organic basis. Due to global supply shortages, organic revenue growth fell slightly

short of the expected corridor of between 5 and 7 percent. Growth in the Separation & Flow Technologies and Farm Technologies divisions more than made up for lower growth in the remaining divisions. The share of service revenue rose from 33.6 percent in the prior year to 34.2 percent in 2021.

Significant improvements in profitability, financial position and ROCE

EBITDA before restructuring expenses increased in the reporting year by 17.3 percent to EUR 624.8 million (2020: EUR 532.5 million), at the upper end of the EUR 600 million to EUR 630 million guidance range. The corresponding EBITDA margin improved by 1.8 percentage points to 13.3 percent (2020: 11.5 percent), which is the highest level since 2016. All divisions contributed to this improvement.

Profit for the period increased in fiscal year 2021 to EUR 305.2 million, compared to EUR 96.8 million in the prior year. This and a smaller average number of shares than in 2020 made for a significant increase in earnings per share from EUR 0.54 to EUR 1.70. Earnings per share before restructuring expenses likewise showed a substantial improvement, from EUR 1.03 to EUR 1.99. The share buyback program launched in August 2021 (for a total of up to EUR 300 million) saw shares repurchased in the amount of some EUR 94 million by year-end.

Net liquidity more than doubled to EUR 499.8 million as of December 31, 2021 (2020: EUR 245.3 million). This gain in liquidity was mainly due to the strong improvement in earnings and a sharp reduction in net working capital. Net working capital as a percentage of revenue improved markedly to 5.1 percent (2020: 7.9 percent).

As a result of the lower net working capital, capital employed (average of the last four quarters) went down from EUR 1,943 million to EUR 1,594 million as of December 31, 2021. Return on capital employed (ROCE) consequently climbed to 27.8 percent (2020: 17.1 percent), exceeding the expected range of between 23.0 and 26.0 percent. In the reporting year, all divisions increased ROCE compared to the prior year, in some cases substantially.

Higher dividend proposed

GEA intends shareholders to benefit from the company's strong and sustainable business model. On the basis of an attractive dividend policy and the very good earnings growth in fiscal year 2021, a dividend of EUR 0.90 per share – 5 cents more than the previous year – will be proposed to the Annual General Meeting.

Revenue and earnings growth expected for 2022

In light of the very high order backlog, organic revenue growth of more than 5 percent is expected for fiscal year 2022. EBITDA before restructuring expenses at constant exchange rates is expected to be in a range between EUR 630 million and EUR 690 million. For ROCE, the company anticipates a figure between 24 and 30 percent (at constant exchange rates).

Medium-term financial targets confirmed

At the end of September 2021, GEA presented the medium-term targets it aims to achieve by the end of fiscal year 2026 within the scope of Mission 26. These see organic group revenue growing up to that time by an average of 4.0 to 6.0 percent annually, resulting in revenue of around EUR 6 billion. The EBITDA margin before restructuring expenses is expected to increase to over 15 percent alongside a significant improvement in ROCE to more than 30 percent.

Financial Key Figures of GEA

(EUR million)	2021	2020	Change in %
Results of operations			
Order intake	5,222.5	4,703.0	11.0
Book-to-bill ratio	1.11	1.01	–
Order backlog	2,785.4	2,298.5	21.2
Revenue	4,702.9	4,635.1	1.5
Organic revenue growth in % ¹	4.3	–	–
Share of service revenue in %	34.2	33.6	57 bps
EBITDA before restructuring expenses	624.8	532.5	17.3
as % of revenue	13.3	11.5	180 bps
EBITDA	569.3	478.3	19.0
EBIT before restructuring expenses	443.7	331.4	33.9
EBIT	379.7	221.2	71.7
Profit for the period	305.2	96.8	> 100
ROCE in % ²	27.8	17.1	1079 bps
Financial position			
Cash flow from operating activities	675.9	717.8	–5.8
Cash flow from investing activities	–112.5	–92.2	–22.0
Free cash flow	563.4	625.6	–9.9
Net assets			
Net working capital (reporting date)	240.3	366.8	–34.5
as % of revenue (LTM)	5.1	7.9	–280 bps
Capital employed (reporting date) ³	1,467.9	1,642.0	–10.6
Equity	2,076.2	1,921.4	8.1
Equity ratio in %	35.3	33.8	156 bps
Net liquidity (+)/Net debt (–) ⁴	499.8	245.3	> 100
GEA Shares			
Earnings per share (EUR)	1.70	0.54	> 100
Earnings per share before restructuring expenses (EUR)	1.99	1.03	93.7
Market capitalization (EUR billion; reporting date)	8.7	5.3	64.2
Employees (FTE; reporting date)	18,143	18,232	–0.5
Total workforce (FTE; reporting date)	19,252	19,268	–0.1

1) By "organic", GEA means changes that are adjusted for currency and portfolio effects.

2) EBIT before restructuring expenses of the last 12 months. Capital employed average of the last 4 quarters and excluding goodwill from the acquisition of the former GEA AG by former Metallgesellschaft AG in 1999.

3) Capital employed excluding goodwill from the acquisition of the former GEA AG by former Metallgesellschaft AG in 1999.

4) Including lease liabilities of EUR 165.8 million as of December 31, 2021 (prior year EUR 156.9 million).

NOTE TO EDITORS

- The virtual annual earnings press conference will start at 10:30 am (CET). The event will take place in German. <https://pressevents.gea.com/bilanzpressekonferenz-2022/join>
- Follow GEA on [in](#) [twitter](#)
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- More information related to this topic can be found [here](#)
- The CEO interview discussing full-year 2021 earnings can be found [here](#)

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About GEA

GEA is one of the world's largest suppliers of systems and components to the food, beverage and pharmaceutical industries. The international technology group, founded in 1881, focuses on machinery and plants, as well as advanced process technology, components, and comprehensive services. With more than 18,000 employees working across five divisions and 62 countries, the group generated revenues of more than EUR 4.7 billion in fiscal year 2021. GEA plants, processes, components and services enhance the efficiency and sustainability of production processes across the globe. They contribute significantly to the reduction of CO₂ emissions, plastic usage and food waste. In doing so, GEA makes a key contribution toward a sustainable future, in line with the company's purpose: "Engineering for a better world".

GEA is listed in the German MDAX and the STOXX® Europe 600 Index and is also among the companies comprising the DAX 50 ESG and MSCI Global Sustainability Indices.

More information can be found online at [gea.com](https://www.gea.com).

If you do not want to receive any further information from GEA, please send an e-mail to pr@gea.com.

Disclaimer

This press release contains forward-looking statements. Forward-looking statements may include statements about future events, future financial performance, plans, strategies, expectations, prospects, competitive environment, regulation and supply and demand. Statements with respect to the future are characterized using words such as "expect", "intend", "plan", "anticipate", "believe", "estimate" and similar terms. Forward-looking statements are based on our current assumptions and forecasts. These statements naturally entail risks and uncertainties, which may cause the actual results of operations, financial position, or performance to diverge materially from the estimates given here. Factors that could cause such a divergence include, inter alia, changes in the economic and business environment, fluctuations in exchange rates and interest rates, launches of competing products, poor acceptance of new products or services, and changes in business strategy. Given these uncertainties, readers should not put undue reliance on any forward-looking statements. We undertake no obligation to update or revise any forward-looking statements. Due to rounding, the sum of percentages of order intake and sales by region as well as by customer industry may vary from 100%.